IN THE SUPREME COURT OF INDIA

NEGOTIABLE INSTRUMENTS & COMMERCIAL OFFENCES JURISDICTION

(Full Bench (3 Judges))

CASE NUMBER: Criminal Appeal No. 1020 of 2010 **CNR: SCIN010010202010**

REPORTABLE CITATION: (2010) 11 SCC 441 DATE: May 07, 2010

CORAM: Hon'ble K.G. Balakrishnan, C.J., P. Sathasivam, J.M. Panchal, JJ.

Rangappa v. Sri Mohan

Rangappa ...PETITIONER(S)

VERSUS

Sri Mohan ...RESPONDENT(S)

HEADNOTE & STATUTORY PROVISIONS CONSIDERED

Acts: Negotiable Instruments Act, 1881 | Sections: Section 138 NI Act, Section 139 NI Act, Section 118 NI Ac

Three-Judge Bench ruling holding that the statutory presumption mandated under Section 139 NI Act includes the existence of a legally enforceable debt, which can be rebutted on preponderance of probabilities. In cheque bounce cases, the court presumes the cheque was issued for a valid debt. The drawer does not need absolute proof to defend themselves, but only needs to raise a probable doubt.

RATIO DECIDENDI & BINDING LEGAL PRINCIPLE

The presumption mandated by Section 139 of the Act does indeed include the existence of a legally enforceable debt or liability. However, the standard of proof for rebutting the presumption is that of preponderance of probabilities. The accused can rely on the materials submitted by the complainant in order to raise such a defence and it is conceivable that in some cases the accused may not need to adduce evidence of his own.

FINAL JUDICIAL DISPOSITION

DISPOSITION: Conviction Set Aside under Section 138 (Outcome: Allowed)

Precedential Authority: Good Law (Binding 3-Judge Precedent)

LEXGUARD CRYPTOGRAPHIC REGISTERED SEAL • STATUTORY JUDICIAL ARCHIVE

`Section 65B IEA / Section 63 BSA • Immutable Repository Authority Record`